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US Economic Update: August 17, 2026

Current state of the real economy	
Current state of financial markets	
Current state of inflation	

Atlanta Fed GDP growth forecasts for Q3 2026 (%)	14-Aug-26	13-Aug-26	12-Aug-26	11-Aug-26	7-Aug-26	6-Aug-26
	4.3	4.8	4.8	4.7	4.7	5.8

Headline inflation slowed to 3.4% in July

- Consumer prices—as measured by the consumer price index (CPI)—rose 0.1% in July, reversing from a 0.4% decline in the previous month. Shelter costs accounted for roughly two-thirds of the monthly increase in CPI in July. Prices for medical care, used cars and trucks, and airline fares also rose during the month. Energy prices fell 1.5%, largely reflecting a 2.9% contraction in gasoline prices. Compared to a year ago, consumer prices rose 3.4% in July (also called inflation), slightly below the 3.5% increase in June. Core inflation, which excludes food and energy, eased to 2.5% over the same period.
- Producer prices for final demand were flat in July, following a 0.1% decline in June. Prices for final demand services rose 0.2% in July. Prices for final demand goods fell 0.7%, driven primarily by a 3.1% drop in energy prices and a 0.9% decline in food prices. Overall, producer prices increased 4.7% from a year earlier in July.
- Nominal retail sales (including food services) fell 0.6% in July, reversing from a 0.2% increase in June. Sales declined the most at non-store retailers (-2.2%) and motor vehicle and parts dealers (-1.8%). Sales at gasoline stations fell by around 0.9% in July, reflecting lower gasoline prices. Compared to a year ago, total retail sales rose 5% in July, down from a 6.7% increase in June. Retail sales have been resilient this year. While rising prices have aided growth in the nominal value of retail sales, healthy consumer spending has supported volume of sales growth.
- Existing home sales fell 1.7% in July to a seasonally adjusted annual rate of 4.06 million units. Sales had declined by 1.4% in the previous month. Compared to a year ago, existing home sales were up 0.7%. The median sales price of existing homes rose 2% in July from a year earlier, while the inventory of unsold homes fell 1.9% during the period. Elevated mortgage rates and high home prices continue to weigh on housing affordability.
- The Federal Reserve Bank of New York's quarterly report on household debt and credit showed that total household debt declined in Q2 2026, largely reflecting temporary factors affecting mortgage debt. Credit card and auto debt rose during the quarter, while delinquencies fell slightly (but remain elevated). Overall, household finances remain stable, with spending supported by lower savings, revolving credit, and wealth gains among high-income households.

Figure 1. Headline inflation slowed to 3.4% in July from 3.5% in June, while core inflation eased to 2.5% over the same period

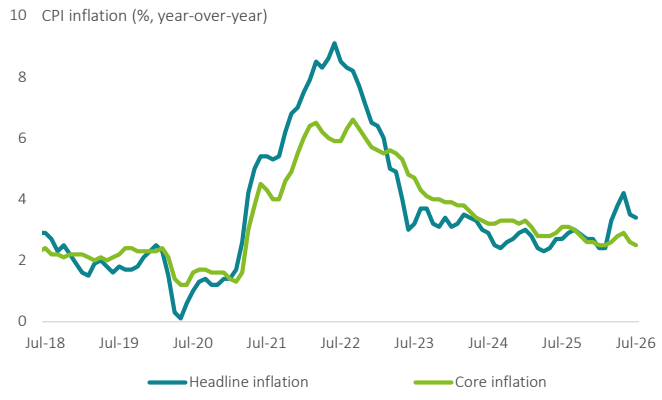


Figure 2. Existing-home sales fell 1.7% in July, as elevated mortgage rates and high home prices continue to weigh on housing affordability



Sources: Haver Analytics; Deloitte analysis.

For additional information, please reach out to the US Economics team:
Akrur Barua (abarua@deloitte.com), **Ira Kalish** (ikalish@deloitte.com), **Michael Wolf** (miwolf@deloitte.com)

Dashboard of key indicators

Real economy

Total nonfarm payrolls

Jul change	3-month avg ch	12-month avg ch	Trend
-23,000	20,000	26,000	

Unemployment rate

Jul value (%)	1-month ch (ppts)	3-month ch (ppts)	Trend
4.1	-0.1	-0.2	

Real disposable personal income

Jun growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.3	0.1	0.5	

Real personal consumer expenditure

Jun growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.4	0.9	2.5	

Nominal retail sales

Jul growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-0.6	0.6	5.0	

Conference Board consumer confidence index

Jul value	1-month ch	3-month ch	Trend
90.8	-1.4	-3.0	

Housing permits

Jun growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-2.6	0.8	-1.8	

Manufacturing industrial production

Jun growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-0.1	0.8	1.1	

Shipments of core capital goods

Jun growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
2.0	2.8	9.4	

Trade balance

Jun value (US$ billion)	1-month ch	3-month ch	Trend
-73.3	4.4	-16.7	

Real GDP

Q2 2026 (%, QoQ, SAAR)	Q1 2026	1-year ch (%)	Trend
1.5	2.1	2.1	

Corporate profits

Q1 2026 (%, QoQ, SAAR)	Q4 2025	1-year ch (%)	Trend
7.0	26.3	12.8	

Financial markets

Equity markets

S&P 500 on Aug 14	1-week ch (%)	1-year ch (%)	Trend
7785.8	0.4	20.7	

Treasury yield spread (10 yr - 2 yr)

Spread on Aug 14	1-month ch(ppts)	3-month ch(ppts)	Trend
0.51	0.11	0.0	

CBOE volatility index (VIX)

VIX on Aug 14	1-week ch	4-week ch	Trend
14.3	-0.7	-2.5	

Kansas City Fed financial stress index (KCFSI)

Jul index	1-month ch	3-month ch	Trend
-0.9	-0.1	-0.1	

Inflation

Consumer price index (CPI)

Jul change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.1	0.1	3.4	

Core CPI (CPI excluding food and energy)

Jul change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.2	0.4	2.5	

Core PCE (PCE price index excluding food and energy)

Jun change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.1	0.7	3.3	

Philadelphia Fed 10-year ahead inflation expectations

Q3 2026 (%, YoY)	Q2 2026	Q3 2025	Trend
2.3	2.4	2.3	

Sources: Haver Analytics; Deloitte analysis.